

4 - Trade-off between business ethics and profits

[Business Ethics | Nestle VS Lush](#)



Do Now

Attempt to answer all the quiz questions from the link below:

<https://www.tutor2u.net/business/reference/business-ethics-revision-quiz>



Learning Outcome

By the end of the lesson I will be able to evaluate the trade-offs businesses face between profit and ethical decision-making

To Know



- I know what is meant by strategic decisions and ethical considerations in business.
- I know situations where a business may have to choose between maximising profit and acting ethically.
- I know real-world examples of businesses facing ethical dilemmas.
- I know the impact of ethical decisions on stakeholders, reputation, and long-term success.
- I know the trade-offs between profit and ethics, and when a business might prioritise one over the other.

Trade-off - Definition

A trade-off arises where having more of one thing potentially results in having less of another.

If a business is behaving in an ethical manner it will potentially generate lower profits due to the higher costs incurred or due to reduced revenue.



You Do

Ethical decision	Potential trade-off with profit is? Consider short and longer term
Fair treatment of suppliers	
Pay taxes in UK	
Do not exploit workers	
Product placement in stores to reduce pester power	
Pay above the minimum living wage	
Ethically sourced ingredients	

David Lloyd
CLUBS

Ethics in the UK health and fitness club industry

Ethics in the UK health and fitness club industry

The nature of a health and fitness club can lead to a number of potential ethical problems. David Lloyd rely on memberships for much of their revenue, getting customers to sign contracts that commit them for a period of months - even years.

Members trust staff to help them achieve their fitness goals. If a member joins who is overweight, out of shape and wants to compete in a triathlon in a month, a personal trainer's response should be to point out that the goal might be unrealistic. The trainer should instead suggest a less challenging activity, or a longer time frame.

Where a David Lloyd club is given an incentive to promote the sales of a particular product line, such as an energy bar, the potential reward must not lead to staff overstating the product's benefits.

Assess two possible examples of trade-offs between profits and ethics for David Lloyd (8)



Affirmative Checking

Make sure your answer has application throughout

Define Key term:	
Paragraph 1 POINT	One ... is.... This is because...
IMPLICATION/S	Consequently/This means/This will lead to...
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Therefore... As a result, ...
Paragraph 2 POINT	In addition another ... is....because....
IMPLICATION/S	Consequently/This means/This will lead to...
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Therefore...
Paragraph 3 POINT	However, ... This is because...
IMPLICATION/S	Consequently/This means/This will lead to...
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Therefore... As a result, ...